



COMMERCIAL LENDING

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PRODUCT BROCHURE · COMMERCIAL LENDING

Syndicated Loans

Large-ticket, multi-lender credit facilities arranged and administered by Cumulus for leveraged buyouts, recapitalizations, large acquisitions, and project finance — with the Bank serving as Administrative Agent, Lead Arranger, or participant.

ROLES	Administrative Agent · Lead Arranger · Participant
DEAL SIZE	\$25,000,000 – \$500,000,000+
PRICING	Term SOFR + 2.25% to + 5.75%
STRUCTURE	Revolver · Term Loan A (amortizing) · Term Loan B (bullet)
TYPICAL MATURITIES	5 yrs (TLA / RC) · 7 yrs (TLB)
USE OF PROCEEDS	LBOs, recaps, acquisitions, dividend recaps, project finance
DOCUMENTATION	LSTA-based credit agreement with institutional covenants
ANCILLARY SERVICES	Treasury, hedging, capital markets, M&A; advisory

AT A GLANCE

Overview

A syndicated credit facility is a large loan funded jointly by a group (or 'syndicate') of institutional lenders under a single credit agreement administered by one lender — the Administrative Agent. Syndicated facilities allow borrowers to raise amounts well beyond what any single bank can comfortably underwrite, while giving lenders the diversification of a participation interest rather than a bilateral exposure. Cumulus participates in the syndicated market as Administrative Agent, Lead Arranger, Bookrunner, and Syndicate Participant across leveraged finance, investment-grade, project finance, and sponsor-driven transactions.

OUR ROLES

Cumulus in the syndicated market

ADMINISTRATIVE AGENT Administrative Agent Cumulus administers the credit facility on behalf of the syndicate: manages funding, interest accrual, amendments, waivers, and default remedies. Single point of contact for the borrower.	LEAD ARRANGER / BOOKRUNNER Lead Arranger / Bookrunner Structures the facility, prepares the Confidential Information Memorandum (CIM), runs the bank meeting, and books syndication commitments into the final syndicate.
JOINT LEAD / CO-ARRANGER Joint Lead / Co-Arranger Assists in structuring and underwriting alongside another institution; frequently shares the book-running responsibility on larger facilities.	PARTICIPANT / SYNDICATE MEMBER Participant / Syndicate Member Holds a participation interest in a credit arranged by another institution. Cumulus evaluates participations under its own credit standards and holds an allocation sized to relationship and facility economics.
SUSTAINABILITY STRUCTURING AGENT Sustainability Structuring Agent For sustainability-linked loans (SLLs), Cumulus designs the KPI framework, pricing-adjustment schedule, and third-party verification protocol.	HEDGING COORDINATOR Hedging Coordinator Cumulus Capital Markets coordinates interest-rate swaps, caps, and collars under the facility's ISDA and security-sharing framework.

FACILITY ARCHITECTURE

Structure and pricing



Syndicated deals are typically structured in multiple tranches to match the borrower's capital needs and investor appetite. Revolving credit and Term Loan A are bank-market products; Term Loan B is an institutional-market product typically purchased by CLOs, mutual funds, and private credit funds.

TRANCHE	STRUCTURE	TYPICAL PRICING	TYPICAL TENOR	INVESTOR
Revolving Credit Facility (RCF)	Multi-draw revolver; LC sub-facility typical	Term SOFR + 2.25% – 3.50%	5 yrs	Bank market
Term Loan A (TLA)	Amortizing term loan (typ. 1% / yr with balloon)	Term SOFR + 2.25% – 3.75%	5 yrs	Bank market
Term Loan B (TLB)	Bullet or de minimis amortizing (1% / yr) institutional	Term SOFR + 3.50% – 5.75%	7 yrs	Institutional (CLOs, funds)
Delayed-Draw Term Loan (DDTL)	Committed draw availability for pre-identified uses (M&A, capex)	Ticking fee 0.50% – 1.00%; drawn = TLA or TLB grid	Availability 18–24 mo; matched to TL maturity	Matched to TL
Second-lien / Unitranche	Junior secured; unitranche combines 1st + 2nd economics	Term SOFR + 5.50% – 8.00% (2nd lien)	7–8 yrs	Private credit, BDCs
Incremental facility (accordion)	Pre-negotiated capacity for future TL or RC additions	Grid-based, subject to 'Most-Favored-Nations' (MFN)	Uncommitted — priced at draw	Bank / institutional

CREDIT AGREEMENT AND RELATED DOCS

Documentation architecture

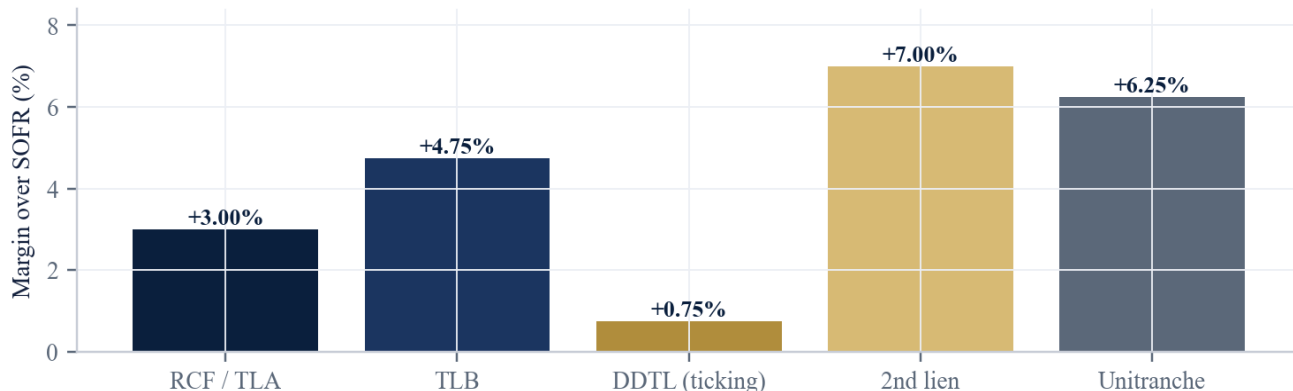
DOCUMENT	PURPOSE
Credit Agreement	Principal loan document. Defines tranches, pricing, mechanics, covenants, events of default, voting thresholds, and agent duties. Drafted on LSTA-compliant templates.
Intercreditor Agreement	Governs priority and standstill among first-lien, second-lien, and subordinated creditors. Controls enforcement, payment waterfall, and bankruptcy rights.
Guarantee and Collateral Agreement	Cross-guarantee among material subsidiaries; grants of security interests in assets; mortgage / deed-of-trust attachments for real estate.
Fee Letter(s)	Confidential arrangement fees, underwriting fees, flex-pricing provisions, and market-flex mechanics.
Confidential Information Memorandum (CIM)	Marketing document used for syndication. Includes business description, historical and projected financials, industry analysis, and term-sheet summary.
Commitment Letter (pre-close)	Committed financing letter issued by Arranger(s) to borrower pending syndication; usually accompanied by highly-confident or market-flex provisions.
Assignment and Assumption	Governs lender-to-lender secondary trading post-close.

MARKET BENCHMARKS

Pricing comparison by structure

The chart below compares illustrative margins across tranches for a mid-market sponsor-backed credit. Actual margins vary by rating, leverage, sponsor reputation, and market conditions at the time of launch.

Illustrative SOFR margins by tranche (mid-market sponsor credit)



HOW IT WORKS

Syndication process

PHASE	ACTIVITIES	TIMING
1 · Mandate	Borrower selects Arranger(s); mandate letter, fee letter, and commitment letter negotiated. Arranger conducts initial diligence and risk grading.	Weeks 1–3
2 · Structuring	Term sheet finalized. Tranche sizing, pricing grid, covenant package, and collateral perfection plan agreed. Rating engagement (where applicable).	Weeks 3–6
3 · CIM and bank meeting	Confidential Information Memorandum prepared; bank meeting or institutional roadshow held; orders collected via agent bank syndication platform.	Weeks 6–8
4 · Allocation and flex	Commitments allocated to syndicate. Market-flex provisions exercised if demand is below expectation (pricing, covenants, or OID adjustments).	Week 8
5 · Documentation and close	Credit agreement, guarantee/collateral, intercreditor, and ancillary documents negotiated and executed. Funding date coordinated with underlying transaction (M&A; / refi).	Weeks 8–12
6 · Administration	Cumulus (as Agent) administers interest, amendments, compliance, and distributions for the life of the facility. Secondary trading enabled post-close.	Life of facility

WHEN SYNDICATION IS APPROPRIATE

Use cases



- **Leveraged buyouts (LBOs)** — sponsor acquisition financing with a blend of TLA/TLB and RCF sized to acquisition enterprise value.
- **Recapitalizations and dividend recaps** — refinancing existing capital structure and/or returning capital to equity sponsors.
- **Strategic acquisitions** — DDTL committed acquisition capacity for strategic buyers in consolidation sectors.
- **Project finance** — ring-fenced SPV financing for infrastructure, energy, and real-estate projects, with construction-to-term financing and completion guarantees.
- **Refinancing maturing facilities** — refinancing existing bilateral or syndicated debt to extend tenor, upsize capacity, or reprice.
- **Sustainability-linked loans (SLLs)** — pricing-adjustment loans tied to independently-verified sustainability KPIs.

COMPLIANCE FRAMEWORK

Covenant architecture

COVENANT TYPE	BANK-MARKET (RCF / TLA)	INSTITUTIONAL (TLB) — COVENANT-LITE
Financial maintenance	Net leverage $\leq$ 4.50x – 6.00x stepping down; fixed-charge or interest coverage $\geq$ 2.00x	None (covenant-lite); springing revolver covenant only
Incurrence tests	Pro-forma leverage / ratio for new debt, investments, distributions	Same pro-forma tests; typically with larger baskets and ratio-based builders
Restricted payments	Basket + ratio tests for dividends, buybacks, junior debt prepayment	Larger baskets; 'builder basket' accumulating 50% of Consolidated Net Income
Reporting	Quarterly financials (45 days), annual audited (90 days), compliance certificate each quarter	Same cadence; institutional investors receive via agent
Excess cash-flow sweep	Annual sweep at declining percentages (75/50/25%) stepping with leverage	Similar framework; may be soft-called by 101 soft-call
Lender voting	Required lenders (50.1%) for amendments; unanimous for sacred rights (principal, interest, pro rata)	Same structure; subset of sacred rights including maturity, rate, release of collateral

COMMON QUESTIONS

Frequently asked questions

Do I need a rating to access the syndicated market?

Not strictly. Bank-market facilities (RCF, TLA) are regularly closed on unrated credits, particularly for investment-grade-equivalent or sponsor-backed borrowers. A public rating (Moody's and S&P;) is effectively required for TLB execution and expands the investor base materially for large deals.

What is 'market flex'?

Market flex is the Arranger's right under the fee letter to adjust pricing, original issue discount (OID), or select covenants within a defined range if syndication demand is insufficient at launch terms. Flex is exercised in consultation with the borrower.

How does the Administrative Agent differ from the Arranger?

The Arranger structures the deal and syndicates it to investors; the Agent administers the facility post-close. In most deals Cumulus serves as both — providing continuity from structuring through life of the loan.

What are 'sacred rights' in the voting framework?

Sacred rights are matters that require unanimous lender consent (or affected-lender consent) to amend — typically: principal amount, interest rate, scheduled maturity, release of all or substantially all collateral, pro-rata sharing, and the definition of 'Required Lenders' itself.

Can I refinance or reprice later?

Yes. Repricings are common in favorable credit markets and typically require a 'soft-call' payment (101% of par) if they occur within the first 6–12 months post-closing. Full refinancing to a new facility follows the same process as an original syndication.

Can Cumulus hedge my rate exposure within the facility?

Yes. Cumulus Capital Markets offers interest-rate swaps, caps, and collars coordinated with the facility's ISDA and security-sharing framework. Hedges settle on the same benchmark (Term SOFR) as the underlying loan.

DISCLOSURES & REGULATORY NOTICES

Important disclosures

§ Annual Percentage Rate (APR) shown is representative and based on illustrative borrower credit profiles; the rate offered to an individual applicant may differ materially. All extensions of credit are subject to application, underwriting, and verification of income, employment, assets, and collateral.

§ Disclosures are provided pursuant to the Truth in Lending Act (Regulation Z, 12 C.F.R. Part 1026), the Equal Credit Opportunity Act (Regulation B, 12 C.F.R. Part 1002), and the Real Estate Settlement Procedures Act (Regulation X, 12 C.F.R. Part 1024) where applicable.

§ For real-estate-secured credit, flood-zone determination, title insurance, property appraisal, and hazard insurance are required. Flood insurance is required where the property is located in a Special Flood Hazard Area identified by FEMA.

§ Cumulus Bank, N.A. is an Equal Housing Lender. Residential mortgage products are offered through Cumulus Home Lending, a division of Cumulus Bank, N.A.

§ NMLS Consumer Access: www.nmlsconsumeraccess.org · NMLS ID 2026045.

§ Syndicated facilities are documented on Loan Syndications and Trading Association (LSTA)-based forms, modified as appropriate for specific transactions. Definitive terms are set forth in the final Credit Agreement, which controls in the event of any conflict with this brochure.

§ Cumulus may act as Administrative Agent, Arranger, Bookrunner, or Participant in any given transaction. Potential conflicts of interest among these roles are addressed in the Credit Agreement and customary agent-bank provisions. Cumulus does not owe fiduciary duties to any lender or the borrower solely by virtue of its role as Agent.

§ Information provided in a Confidential Information Memorandum (CIM) is prepared in consultation with the borrower and is circulated to potential syndicate members under a confidentiality agreement. Investors are expected to independently evaluate each credit.

§ Rating agency engagements and sustainability-linked KPI verification are arranged through independent third-party providers selected by the borrower. Cumulus does not guarantee, and is not responsible for, the conclusions of those providers.



ENGAGE A SPECIALIST

Connect with a Cumulus commercial banker

A Commercial Relationship Manager will assess your business's banking, credit, and treasury needs, coordinate supporting specialists, and return a term sheet or proposal on an expedited timeline. Existing Cumulus clients should contact their dedicated Relationship Manager directly.

COMMERCIAL DESK

954.417.2880

Client Services, Mon–Fri 7:00 a.m. – 9:00 p.m. ET · Sat 8:00 a.m. – 5:00 p.m. ET

CLIENT PORTAL

cumulusbank-demo-bb054209d76d.herokuapp.com

Apply online, review rates, or schedule an appointment.

TREASURY SERVICES

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